COURSE · MODULE 07

Module 07 · Transformation or efficiency

How a company knows, with evidence, whether it is transforming with AI or only becoming more efficient

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20	8	5	3
minutes	observable signals	possible profiles	base conditions

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01

Objective

By the end you will be able to read a company's transformation index, explain its five profiles and recognise a "declared but unevidenced transformation".

02

Key ideas

1. **Efficiency and transformation are both legitimate.** The problem is calling a portfolio of automations a transformation, or blocking a transformation with cost-cutting criteria.
2. **The index does not give opinions: it looks at evidence.** Three base conditions and eight observable signals —where investment goes, what reaches production, what capacity is reassigned, what revenue depends on AI, what the board decides—, scored from 0 to 3.
3. **"No data" is not evidence.** It scores zero and is shown as no data: the coverage of the index is part of the diagnosis.

4. **Five profiles**: scattered exploration, tactical efficiency, efficiency at scale, transformation under way and declared but unevidenced transformation.

03

Guided tour

Step	What to open	What to look at
1	document 00, section 5	The principle and the five profiles.
2	document 12, sections 3 and 4	The questions that classify an initiative's ambition and the eight signals of the index.
3	document 12, section 9	The complete illustrative example.
4	T14	The same example calculated, with "what would move the profile".
5	T17	The index card in the example board dashboard.

04

Exercise

Open the index calculator (T14). The example gives "declared but unevidenced transformation" with an underlying efficiency profile. Find which signals have the lowest score and read "what would move the profile". Then answer, for your company and without calculating anything: for how many of the eight signals would you have data today?

05

Self-check

1. What does "declared but unevidenced transformation" mean?
2. When is the index calculated?
3. A company with twenty automations in production and no Transform bet: what profile does it probably have?
4. Does investment in compliance and AI governance count towards the index?

06

Next step

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Answers. 1) The company has declared a transformation ambition, but the signals do not support it. 2) At the initial diagnosis (C1) and at each annual review (C5). 3) Efficiency at scale. 4) It goes in a separate band and does not count in the investment and production signals: governing well is not transforming.